

COMMITTEE AMENDMENT
HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend SB531 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Adopted: _____
Amendment submitted by: Nick Archer

Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

PROPOSED OVERSIGHT
COMMITTEE SUBSTITUTE
FOR ENGROSSED
SENATE BILL NO. 531

By: Seifried of the Senate

and

Archer of the House

PROPOSED OVERSIGHT COMMITTEE SUBSTITUTE

An Act relating to alcoholic beverages; amending 37A O.S. 2021, Sections 2-143, 2-144, 2-147, 3-119, 3-120, and 3-121, which relate to licensees; modifying requirements for information to be submitted to the Alcoholic Beverage Laws Enforcement (ABLE) Commission by certain licensees; modifying grounds for refusal of certain licenses; modifying persons prohibited from taking certain action; limiting certain rights and ownership interests of certain persons; updating statutory language; updating statutory references; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 37A O.S. 2021, Section 2-143, is amended to read as follows:

Section 2-143. A. Any corporation applying for a mixed beverage, beer and wine, caterer, public event, beer distributor, or bottle club license, or as an equity partner in a wine and spirits wholesaler, shall submit to the ~~ABLE~~ Alcoholic Beverage Laws Enforcement (ABLE) Commission the following:

1 1. A certificate of good standing from the ~~office~~ Office of the
2 Secretary of State;

3 2. A list of all corporate officers, directors, executive
4 committee members, or members of a similar governing body and their
5 addresses, except for a charitable organization exempt from taxation
6 under Section 501(c)(3), (4), (5), (6), (7), (8), (9), (10), or (19)
7 of the ~~United States~~ Internal Revenue Code of 1986, as amended,
8 which shall only be required to furnish its corporate officers; and

9 3. A list of all stockholders owning more than fifteen percent
10 (15%) ~~or more~~ of the stock and their addresses; and

11 4. An affidavit signed by the corporation's governing body
12 which states that all stockholders owning fifteen percent (15%) or
13 less of the stock do not directly or indirectly have any interest in
14 any other tier.

15 B. Any corporation applying for a retail wine or retail beer
16 license shall submit to the ABLE Commission the following:

17 1. A certificate of good standing from the ~~office~~ Office of the
18 Secretary of State;

19 2. A list of all corporate officers and directors, except for a
20 charitable organization exempt from taxation under Section
21 501(c)(3), (4), (5), (6), (7), (8), (9), (10), or (19) of the ~~United~~
22 ~~States~~ Internal Revenue Code of 1986, as amended, which shall only
23 be required to furnish its corporate officers; and
24

1 3. A list of all stockholders owning ~~fifty one percent (51%) or~~
2 more than fifteen percent (15%) of the stock.

3 C. A corporate licensee shall notify the ABLE Commission in
4 writing of any change in the officers or directors of the
5 corporation or in the principal managers of premises licensed to the
6 corporation and shall pay a fee of One Hundred Dollars (\$100.00) for
7 each notification of change. Provided, service organizations which
8 are exempt under Section 501(c)(8), (10), or (14) of the Internal
9 Revenue Code of 1986, as amended, shall be exempt from such fee.

10 D. A corporate licensee shall notify the ABLE Commission any
11 time a person, any type of partnership, limited liability company,
12 or other entity acquires the percentages specified in paragraph 3 of
13 subsection A or B of this section, or more, of the stock of the
14 corporation. Such notification shall be within thirty (30) days of
15 acquisition, and the corporation shall pay a fee of One Hundred
16 Dollars (\$100.00) for each notification of change.

17 E. The ABLE Commission may disapprove a change of officers,
18 directors, or principal managers or the acquisition of more than the
19 percentages specified in paragraph 3 of subsection A or B of this
20 section of the stock in a licensed corporation if the ABLE
21 Commission feels that such change would materially affect the
22 conditions under which the license was issued, such that the license
23 would not have been issued had such change been in existence at the
24 time of the original application. If such disapproval occurs, the

1 ABLE Commission shall notify the licensee in writing and in the case
2 of a publicly traded corporation, allow a reasonable time for the
3 licensee to remove such officer, director, or manager or for the
4 stockholder to divest himself or herself of any stock held in excess
5 of the percentages specified in paragraph 3 of subsection A or B of
6 this section; provided, a reasonable time may not exceed a ninety-
7 day period following notification of denial by the ABLE Commission.
8 Failure to comply with the provisions of this subsection may result
9 in revocation or suspension of such license.

10 F. Any person who was an officer or director or who has owned
11 the percentages specified in paragraph 3 of subsection A or B of
12 this section or more of the stock in a corporation which has been
13 denied a license or had a license revoked or suspended pursuant to
14 the provisions of the Oklahoma Alcoholic Beverage Control Act shall
15 not own stock in any other corporation seeking a license pursuant to
16 the provisions of the Oklahoma Alcoholic Beverage Control Act for a
17 period of twelve (12) months from the date the license was revoked
18 or suspended.

19 G. Any person who was a manager or a member owning more than
20 fifteen percent (15%) of the total membership interests of a limited
21 liability company which has been denied a license or had a license
22 revoked or suspended pursuant to the provisions of the Oklahoma
23 Alcoholic Beverage Control Act shall not own stock in any
24 corporation seeking a license pursuant to the provisions of the

Oklahoma Alcoholic Beverage Control Act for a period of twelve (12) months from the date the license was revoked or suspended.

SECTION 2. AMENDATORY 37A O.S. 2021, Section 2-144, is amended to read as follows:

Section 2-144. A. Any limited liability company, formed as provided for in the Oklahoma Limited Liability Company Act, may apply for a mixed beverage, beer and wine, bottle club, caterer, public event, beer distributor, retail wine, or retail beer license issued pursuant to the Oklahoma Alcoholic Beverage Control Act. Any limited liability company applying for a license shall submit to the ~~ABLE~~ Alcoholic Beverage Laws Enforcement (ABLE) Commission, the following:

1. A ~~Certificate~~ certificate of ~~Good Standing~~ good standing from the Office of the Secretary of State;

2. The ~~Articles~~ articles of ~~Organization~~ organization with all amendments and corrections filed with the Office of the Secretary of State with proof that same has been filed in accordance with the Oklahoma Limited Liability Company Act;

3. The name and address of the resident agent;

4. The name and address of the manager;

5. The operating agreement;

6. A current list of the full name, social security number, and address of each member owning more than fifteen percent (15%) of the total membership interests; and

1 7. ~~A copy of the issued Certificate of Membership Interest for~~
2 ~~each member~~ An affidavit signed by a limited liability company's
3 manager or managing member which states that all members owning
4 fifteen percent (15%) or less of the total membership interests do
5 not directly or indirectly have any interest in any other tier,
6 provided, this requirement shall not apply to a limited liability
7 company applying for a retail wine or retail beer license.

8 B. A limited liability company licensee shall notify the ABLE
9 Commission in writing of any change in the manager of the licensed
10 company within thirty (30) days of the change and shall pay a fee of
11 One Hundred Dollars (\$100.00) for each notification of change.

12 C. A limited liability company shall notify the ABLE Commission
13 in writing any time a membership is assigned or members are added or
14 disassociated of any membership interest of more than fifteen
15 percent (15%) of the total membership interest within thirty (30)
16 days of the change. The limited liability company shall pay a fee
17 of One Hundred Dollars (\$100.00) for each notification of change.

18 D. The ABLE Commission may disapprove a change of manager or
19 new membership in a licensed liability company if the ABLE
20 Commission feels that such change would materially affect any
21 conditions under which the license was issued, such that the license
22 would not have been issued had such change been in existence at the
23 time of the original application. If such disapproval occurs, the
24 ABLE Commission shall notify the licensee in writing and allow a

1 reasonable time for the licensee to remove such manager or for a
2 member to be disassociated from the company; provided, a reasonable
3 time shall not exceed a ninety-day period following notification of
4 denial by the ABLE Commission. Failure to comply with the
5 provisions of this subsection may result in revocation or suspension
6 of such license.

7 E. Any person who has been a licensee, a partner in a license,
8 an officer, director, or a stockholder owning more than fifteen
9 percent (15%) ~~or more stockholder~~ of the stock in a corporation
10 holding a license revoked or suspended, pursuant to the provisions
11 of the Oklahoma Alcoholic Beverage Control Act, shall not serve as a
12 manager or be a member owning more than fifteen percent (15%) of the
13 total membership interests in a limited liability company seeking a
14 license pursuant to the provisions of the Oklahoma Alcoholic
15 Beverage Control Act for a period of twelve (12) months from the
16 date the license was revoked or suspended.

17 F. Any person who has been a manager, member owning more than
18 fifteen percent (15%) of the total membership interests, or
19 participant in any business entity which was a manager or member
20 owning more than fifteen percent (15%) of the total membership
21 interests of a limited liability company which has been denied a
22 license or ~~has~~ had a license revoked or suspended, pursuant to the
23 provisions of the Oklahoma Alcoholic Beverage Control Act shall not
24 serve as a manager or member in a limited liability company seeking

1 a license pursuant to the provisions of the Oklahoma Alcoholic
2 Beverage Control Act for a period of twelve (12) months from the
3 date the license was revoked or suspended.

4 G. Any person who has been convicted of a felony for which a
5 pardon has not been granted shall not be elected as a manager ~~or be~~
6 ~~a member~~ of a limited liability company.

7 SECTION 3. AMENDATORY 37A O.S. 2021, Section 2-147, is
8 amended to read as follows:

9 Section 2-147. A. The ~~ABLE~~ Alcoholic Beverage Laws Enforcement
10 (ABLE) Commission shall refuse to issue a mixed beverage, beer and
11 wine, bottle club, public event, caterer, retail wine, or retail
12 beer license, either on an original application or a renewal
13 application, if it has reasonable grounds to believe and finds any
14 of the following to be true:

15 1. That the applicant, in the case of a natural person, is
16 under twenty-one (21) years of age or has been convicted of a felony
17 within fifteen (15) years prior to the application date;

18 2. That the applicant, in the case of a corporation, has a
19 stockholder who owns more than fifteen percent (15%) ~~or more~~ of the
20 stock, an officer, or a director who is under twenty-one (21) years
21 of age;

22 3. That the applicant, in the case of any type of partnership,
23 has a limited partner who owns more than fifteen percent (15%) of
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1 the total partnership interests or has any general partner who is
2 under twenty-one (21) years of age;

3 4. That the applicant, in the case of a limited liability
4 company, has a member who owns more than fifteen percent (15%) of
5 the total membership interests or has a manager ~~or member~~ who is
6 under twenty-one (21) years of age;

7 5. That the applicant ~~or any type of partner,~~ in the case of
8 any type of partnership, has a limited partner owning more than
9 fifteen percent (15%) of the total partnership interests or has a
10 general partner who has been convicted of a felony within fifteen
11 (15) years prior to the application date;

12 6. That the applicant, in the case of a corporation, has a
13 stockholder owning more than fifteen percent (15%) of the stock, an
14 officer, or a director who has been convicted of a felony within
15 fifteen (15) years prior to the application date;

16 7. That the applicant, in the case of a limited liability
17 company, has ~~a manager or~~ a member owning more than fifteen percent
18 (15%) of the total membership interests or a manager who has been
19 convicted of a felony within fifteen (15) years prior to the
20 application date, ~~and such manager or member has an ownership~~
21 ~~interest greater than fifty percent (50%);~~

22 8. That the applicant has made false statements to the ABLE
23 Commission;

1 9. That the applicant is not the legitimate owner of the
2 business for which a license is sought or that other persons have
3 undisclosed ownership interests in the business;

4 10. That the applicant or any partner, within twelve (12)
5 months after being issued a license, either on an original
6 application or a renewal application, has violated any provision of
7 the Oklahoma Alcoholic Beverage Control Act or rule of the ABLE
8 Commission promulgated pursuant hereto. Provided, however, that if
9 the ABLE Commission, during the twelve-month period, has suspended
10 any license sought to be renewed, such renewal application may be
11 approved if the term of the suspension has been completed and the
12 applicant has complied with any special conditions imposed in
13 connection with the suspension;

14 11. That the applicant is not the real party in interest, or
15 intends to carry on the business authorized by the license as the
16 agent of another;

17 12. That the applicant is a person who appoints or is a law
18 enforcement official or is an employee of the ABLE Commission;

19 13. That the applicant does not own or have a written lease for
20 the premises for which a license is sought; or

21 14. That the applicant or any partner, spouse, employee, or
22 other person affiliated with the applicant is not in compliance with
23 the tax laws of this state as required in Article ~~XXVIII~~ XXVIII-A
24 of the Oklahoma Constitution.

1 B. 1. The ABLE Commission may refuse to issue a mixed
2 beverage, beer and wine, bottle club, public event, or caterer
3 license, either on an original application or a renewal application,
4 if it has reasonable grounds to believe and finds any of the
5 following to be true:

6 a. that the applicant ~~or any type of partner,~~ in the case
7 of a natural person, has been convicted of a felony
8 described in paragraph 2 of this subsection within
9 twenty-five (25) years of the application date,

10 b. that the applicant, in the case of any type of
11 partnership, has a limited partner owning more than
12 fifteen percent (15%) of the total partnership
13 interests or a general partner who has been convicted
14 of a felony described in paragraph 2 of this
15 subsection within twenty-five (25) years of the
16 application date,

17 ~~b.~~

18 c. that the applicant, in the case of a corporation, has
19 a stockholder owning more than fifteen percent (15%)
20 of the stock, an officer, or a director who has been
21 convicted of a felony described in paragraph 2 of this
22 subsection within twenty-five (25) years of the
23 application date, and

24 ~~e.~~

d. that the applicant, in the case of a limited liability company, has ~~a manager or~~ a member owning more than fifteen percent (15%) of the total membership interests or a manager who has been convicted of a felony described in paragraph 2 of this subsection within twenty-five (25) years prior to the application date, ~~who has been convicted of a felony described in paragraph 2 of this subsection.~~

2. The provisions of this section shall apply to the following felony offenses:

- a. an alcohol-related offense,
- b. a violent crime as defined in Section 142A-1 of Title 21 of the Oklahoma Statutes, or
- c. a crime which would subject a person to registration pursuant to the Sex Offenders Registration Act.

SECTION 4. AMENDATORY 37A O.S. 2021, Section 3-119, is amended to read as follows:

Section 3-119. It shall be unlawful for any manufacturer, brewer, wine and spirits wholesaler, beer distributor, or person authorized to sell alcoholic beverages to a wholesaler, or any employee, officer, director, stockholder owning more than fifteen percent (15%) or more of the stock, limited partner owning more than fifteen percent (15%) of the total partnership interests of a limited partnership, limited liability company member owning more

1 than fifteen percent (15%) of the total membership interests of a
2 limited liability company, any type of general partner, managing
3 partner, manager, member, or agent thereof, to directly or
4 indirectly:

5 1. Have any financial interest in any premises upon which any
6 alcoholic beverage is sold at retail or in any business connected
7 with the retailing of alcoholic beverages; provided, nothing in ~~this~~
8 ~~act~~ Section 1-101 et seq. of this title shall prohibit the operation
9 of a mixed beverage licensee, beer and wine licensee, or caterer
10 licensee by an entity which has common owners with the holder of a
11 small brewer license or a brewpub license;

12 2. Lend any money or other thing of value, or to make any gift
13 or offer any gratuity, to any package store, retail wine, retail
14 beer, mixed beverage, beer and wine, public event, or bottle club
15 licensee or caterer;

16 3. Guarantee any loan or the repayment of any financial
17 obligation of any retailer, mixed beverage, beer and wine, public
18 event, or bottle club licensee or caterer;

19 4. Require any wine and spirits wholesaler, beer distributor,
20 retailer, mixed beverage, on-premises beer and wine licensee, public
21 event, or caterer to purchase and dispose of any quota of alcoholic
22 beverages, or to require any retailer to purchase any kind, type,
23 size, container, or brand of alcoholic beverages in order to obtain
24

1 any other kind, type, size, container, or brand of alcoholic
2 beverages;

3 5. Sell to any retailer, mixed beverage, on-premises beer and
4 wine licensee, public event, or caterer any alcoholic beverage on
5 consignment, or upon condition, or with the privilege of return, or
6 on any condition other than a bona fide sale; provided, the
7 following shall not be considered a violation of this paragraph:

8 a. delivery in good faith, or through mistake,
9 inadvertence, or oversight, of an alcoholic beverage
10 that was not ordered by a retailer, mixed beverage
11 licensee, on-premises beer and wine licensee, caterer,
12 public event, or special event licensee to such
13 licensee,

14 b. replacement of product breakage that occurred while
15 the alcoholic beverages were in transit from the
16 wholesaler to the licensee, or

17 c. replacement of cork-tainted wine that makes the
18 product unsaleable as long as the licensee notifies
19 the wine and spirits wholesaler of the defect in
20 writing within ninety (90) days after delivery of the
21 product; or

22 6. Extend credit to any retailer, other than holders of Federal
23 Liquor Stamps on United States government reservations and
24 installations, mixed beverage, public event, or on-premises beer and

1 wine licensee or caterer, other than a state lodge located in a
2 county which has approved the retail sale of alcoholic beverages by
3 the individual drink for on-premises consumption. The acceptance of
4 a postdated check or draft or the failure to deposit for collection
5 a current check or draft by the second banking day after receipt
6 shall be deemed an extension of credit. Violation of this section
7 shall be grounds for suspension of the license.

8 SECTION 5. AMENDATORY 37A O.S. 2021, Section 3-120, is
9 amended to read as follows:

10 Section 3-120. No mixed beverage, beer and wine, caterer,
11 public event, or bottle club licensee, general partner in any type
12 of partnership, limited partner owning more than fifteen percent
13 (15%) of the total partnership interests in any type of limited
14 partnership, manager or member of a limited liability company owning
15 more than fifteen percent (15%) of the total membership interest of
16 a limited liability company, officer, director, or stockholder of
17 any corporate licensee owning more than fifteen percent (15%) of the
18 stock shall have any right, title, lien, claim, or interest,
19 financial or otherwise, in, upon, or to the premises, equipment,
20 business, or merchandise of any package store, beer distributor,
21 brewer, manufacturer, or wholesaler. The provisions of this section
22 shall not prohibit a person who is an officer or director of a
23 fraternal or veteran's organization which is a tax exempt
24 organization under Section 501(c)(8), (10), or (19) of the Internal

1 Revenue Code of 1986, as amended, and which holds a license issued
2 by the ~~ABLE~~ Alcoholic Beverage Laws Enforcement (ABLE) Commission
3 from having a right, title, lien, claim, or interest in the
4 premises, equipment, business, or merchandise of a package store.

5 SECTION 6. AMENDATORY 37A O.S. 2021, Section 3-121, is
6 amended to read as follows:

7 Section 3-121. No manufacturer, brewer, wine and spirits
8 wholesaler, beer distributor, general partner in any type of
9 partnership, limited partner owning more than fifteen percent (15%)
10 of the total partnership interests in any type of limited
11 partnership, manager or member of a limited liability company owning
12 more than fifteen percent (15%) of the total membership interest of
13 a limited liability company, or officer, director, or stockholder of
14 any nonresident seller, brewer, or manufacturer licensee, owning
15 more than fifteen percent (15%) of the stock shall have any right,
16 title, claim, or interest, financial or otherwise, in, upon, or to
17 the premises, equipment, business, or merchandise of any mixed
18 beverage, beer and wine, caterer, public event, or bottle club
19 licensee.

20 SECTION 7. This act shall become effective November 1, 2026.

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22 60-2-17238 JL 04/06/26
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